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Zhejiang Sanhua Intelligent Controls | Asia Pacific

2Q26 in Line, AI Liquid Cooling Will Be Key Focus Area

AlphaSignals Earnings Reaction

Unchanged	In-line	Largely unchanged
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- 2Q26 core earnings were in line excluding FX drag.
- AI liquid cooling revenue ramp will be key to driver growth, as robotics progress a bit delayed.

2Q26 in line: Sanhua's 2Q26 earnings fell 7% YoY, to Rmb1116mn, largely in line with market expectations.

2Q26 revenue grew 6% YoY, to Rmb9.1bn: Within this, we estimate that auto parts revenue rose 6% YoY, to Rmb3.3bn, and cooling parts revenue was up 7% YoY to Rmb5.8bn.

2Q26 gross margin fell 1.0ppt YoY, to 28.3%: This reflected higher aluminum cost, partially hedged and passed to customers.

Sanhua suffered a wider FX loss YoY in 2Q, which led to the earnings decline.

Earnings call at 10 AM HKT, 27 August: Key focus areas:

- Demand outlook for cooling and EV thermal parts;
- Progress on AIDC liquid cooling and robotics;
- Whether management will stick to the 15% YoY full-year earnings growth target.

Exhibit 1: Sanhua – 2Q/1H26 results summary

Sanhua (Rmb mn)	1Q25	2Q25	1Q26	2Q26	2Q YoY	2Q QoQ	1H25	1H26	YoY
Revenue	7,669	8,593	7,774	9,126	6%	17%	16,263	16,900	4%
Gross profit	2,057	2,515	2,161	2,582	3%	19%	4,572	4,742	4%
Operating profit	1,053	1,509	1,209	1,523	1%	26%	2,562	2,732	7%
Net profit	903	1,207	928	1,116	-7%	20%	2,110	2,044	-3%
Recurring net profit	853	1,157	986	1,162	0%	18%	2,010	2,147	7%
EPS (Rmb)	0.23	0.30	0.22	0.27	-13%	20%	0.57	0.49	-14%
Gross margin	26.8%	29.3%	27.8%	28.3%	-1.0%	0.5%	28.1%	28.1%	-0.1%
Operating margin	13.7%	17.6%	15.6%	16.7%	-0.9%	1.1%	15.8%	16.2%	0.4%
Net margin	11.8%	14.0%	11.9%	12.2%	-1.8%	0.3%	13.0%	12.1%	-0.9%

Source: Company data, Morgan Stanley Research

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Zhejiang Sanhua Intelligent Controls (002050.SZ, 002050 CS)

China Autos & Shared Mobility | China

Stock Rating	Equal-weight
Industry View	In-Line
Price target	Rmb40.00
Up/downside to price target (%)	11
Shr price, close (Aug 26, 2026)	Rmb36.14
52-Week Range	Rmb60.77-29.18
Sh out, dil, curr (mn)	4,200
Mkt cap, curr (mn)	Rmb151,776
EV, curr (mn)	Rmb138,062
Avg daily trading value (mn)	Rmb6,926

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	1.02	1.12	1.35	1.54
EPS, basic (Rmb)**	1.02	1.12	1.35	1.54
Revenue, net (Rmb mn)	31,012	33,894	39,149	43,259
EBITDA (Rmb mn)	5,970	6,393	7,612	8,566
ModelWare net inc (Rmb mn)	4,063	4,712	5,675	6,453
P/E	54.0	32.2	26.7	23.5
P/BV	6.5	3.8	3.4	3.1
RNOA (%)	21.9	20.7	23.1	24.1
ROE (%)	21.1	14.8	16.2	16.5
EV/EBITDA	32.2	21.3	17.6	15.2

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Zhejiang Sanhua Intelligent Controls (002050.SZ)

Base case, derived from DCF valuation. Our key assumptions include a 12% WACC (14.5% cost of equity and 6.3% cost of debt) and a 3% terminal growth rate.

Risks to Upside

- Stronger-than-expected Tesla sales, especially in China
- Higher-than-expected air conditioner sales growth
- Order wins from new EV customers
- Robotic business wins

Risks to Downside

- Sales slump in China's property market (affecting residential HVAC), as seen in 2015
- Global EV demand slowdown
- Growing competition in NEV business
- FX/export risks amid macro uncertainty

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Zhejiang Sanhua Intelligent Controls (002050.SZ) - As of 08/26/26 GMT in CNY Industry : China Autos & Shared Mobility



Stock Rating History: 8/1/21 : 0/C; 9/1/21 : 0/A; 3/1/22 : E/A; 8/15/22 : E/A; 8/25/22 : E/I; 6/18/25 : 0/I; 11/12/25 : E/I

Price Target History: 6/12/20 : 22; 3/1/22 : 21; 4/13/22 : 17; 8/15/22 : 26; 3/6/24 : 25; 4/30/24 : 23; 9/27/24 : 21; 2/13/25 : 29; 6/18/25 : 30; 9/1/25 : 34; 11/12/25 : 42; 3/25/26 : 40

Source: Morgan Stanley Research

Date Format : MM/DD/YY

Price Target --

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst)

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

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INDUSTRY COVERAGE: China Autos & Shared Mobility

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/26/2026)
Joey Xu, CFA		
Anhui Jianghuai Automobile (600418.SS)	E (08/19/2023)	Rmb21.08
BAIC Motor (1958.HK)	E (10/02/2025)	HK\$0.86
Brilliance China Automotive (1114.HK)	E (03/31/2025)	HK\$2.48
Chongqing Changan Automobile (000625.SZ)	E (03/03/2026)	Rmb7.14
Guangzhou Automobile Group (601238.SS)	U (10/23/2019)	Rmb5.25
Guangzhou Automobile Group (2238.HK)	O (05/05/2020)	HK\$2.12
Huayu Automotive (600741.SS)	O (09/08/2020)	Rmb15.42
Jiangsu Changshu Automotive Trim Group (603035.SS)	E (08/14/2023)	Rmb11.30
Ningbo Huaxiang Electronic Co., Ltd. (002048.SZ)	E (05/05/2026)	Rmb18.82
SAIC Motor Corp. Ltd. (600104.SS)	O (11/25/2021)	Rmb10.39
Voyah Automotive Technology Co. Ltd. (7489.HK)	O (03/31/2026)	HK\$2.80
Zhengzhou Yutong Bus Co (600066.SS)	E (09/22/2023)	Rmb30.40
Shelley Wang, CFA		
Beijing Jingwei Hirain Technologies (688326.SS)	U (09/27/2024)	Rmb61.21
Bethel Automotive Safety Systems Co Ltd (603596.SS)	O (12/11/2023)	Rmb25.66
Changzhou Xingyu Automotive Lighting Sys (601799.SS)	O (09/27/2024)	Rmb86.35
China MeiDong Auto Holdings Ltd (1268.HK)	U (07/10/2026)	HK\$0.42
China Yongda Automobiles Services (3669.HK)	U (07/10/2026)	HK\$0.87
Foryou Corporation (002906.SZ)	O (03/06/2024)	Rmb26.75
Fuyao Glass Industry Group (600660.SS)	E (12/01/2016)	Rmb57.20
Fuyao Glass Industry Group (3606.HK)	E (12/01/2016)	HK\$56.15
Huizhou Desay SV Automotive Co Ltd (002920.SZ)	O (02/28/2025)	Rmb86.11
Keboda (603786.SS)	O (01/17/2024)	Rmb39.83
Minth Group Limited (0425.HK)	O (08/24/2015)	HK\$29.70
NavInfo Co Ltd (002405.SZ)	U (03/06/2024)	Rmb6.38
Nexteer Automotive Group (1316.HK)	E (02/28/2025)	HK\$5.14
Ningbo Joyson Electronic Corp (600699.SS)	E (03/11/2026)	Rmb18.98

Ningbo Tuopu Group Co Ltd (601689.SS)	E (11/12/2025)	Rmb46.60
Ningbo Xusheng Group Co Ltd (603305.SS)	E (06/18/2025)	Rmb11.25
Suzhou Recodeal Interconnect System (688800.SS)	O (07/02/2026)	Rmb61.03
TUHU Car Inc (9690.HK)	O (07/29/2024)	HK\$11.95
Zhejiang Sanhua Intelligent Controls (002050.SZ)	E (11/12/2025)	Rmb36.14
Zhongsheng Group Holdings (0881.HK)	E (07/10/2026)	HK\$4.35
Tim Hsiao		
BAIC BluePark New Energy (600733.SS)	U (08/07/2024)	Rmb5.08
BYD Company Limited (002594.SZ)	O (04/14/2025)	Rmb92.09
BYD Company Limited (1211.HK)	O (04/14/2025)	HK\$92.60
EHang Holdings Ltd (EH.O)	O (03/13/2025)	US\$4.83
Geely Automobile Holdings (0175.HK)	O (06/26/2024)	HK\$18.36
Great Wall Motor Company Limited (601633.SS)	U (03/16/2022)	Rmb15.42
Great Wall Motor Company Limited (2333.HK)	E (01/08/2024)	HK\$8.22
Hesai Group (HSAI.O)	O (07/28/2025)	US\$18.30
Horizon Robotics (9660.HK)	O (12/02/2024)	HK\$4.74
Li Auto Inc. (LI.O)	O (08/24/2020)	US\$12.27
Li Auto Inc. (2015.HK)	O (11/16/2021)	HK\$48.10
NIO Inc. (9866.HK)	O (10/03/2022)	HK\$35.08
NIO Inc. (NIO.N)	O (08/26/2020)	US\$4.45
WeRide Inc (WRD.O)	O (11/19/2024)	US\$6.08
XPeng Inc. (9868.HK)	O (11/16/2021)	HK\$46.68
XPeng Inc. (XPEV.N)	O (01/29/2021)	US\$11.60

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* Historical prices are not split adjusted.